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SERIES: PHARMA AND BIOTECH

ELI LILLY

Eli Lilly and Company

NYSE: LLY · United States · Drug Manufacturers — General

USD 1,160.00

Closing price, 1 September 2026 (+0.28% on the session)



Share price, 1 June 2026 – 1 September 2026, daily close. Source: Alpha Vantage daily time series.

REPORT DATE
1 September 2026

ANALYST
Arthur Faugeron

TICKER / EXCHANGE
LLY / NYSE

Executive Summary

Business

Eli Lilly is a research-based pharmaceutical manufacturer that develops, produces, and markets branded prescription medicines across diabetes and obesity care, oncology, immunology, and neuroscience. Its two incretin therapies, Mounjaro (tirzepatide, diabetes) and Zepbound (tirzepatide, obesity), generated a combined USD 36.5 billion in 2025, or 56% of total revenue, and are the primary engine behind revenue nearly tripling from USD 24.5 billion in FY2020 to USD 65.2 billion in FY2025. The company sells through wholesalers, pharmacy benefit managers, and government health systems in roughly 125 countries, with the United States accounting for the majority of incremental growth.

Financial Condition

FY2025 revenue of USD 65.2 billion grew 45% year over year (Sourced, company 10-K); operating margin expanded to 45.6% and net margin to 31.7% as the incretin franchise scaled against a largely fixed R&D and SG&A base. Calculated EBITDA (operating income plus depreciation and amortization) reached approximately USD 31.7 billion in FY2025. Free cash flow was compressed to USD 9.0 billion by a USD 7.8 billion capital expenditure program tied to a announced USD 50 billion domestic manufacturing build-out, even as operating cash flow rose to USD 16.8 billion. Net debt stood at USD 35.3 billion at fiscal year-end 2025, or roughly 1.1 times calculated EBITDA, and interest coverage remained comfortable at approximately 33 times EBIT.

Market Position

Lilly's principal competitor is Novo Nordisk A/S, the maker of Ozempic and Wegovy; Lilly overtook Novo in ex-US GLP-1 market share during 2026 as Mounjaro and Zepbound volumes outpaced semaglutide (Sourced, trade press, see Section A4). Secondary competitors include Pfizer, Merck, and AbbVie in oncology and immunology, though none compete directly in incretin metabolic disease at present scale. The principal competitive advantage is a multi-year manufacturing and clinical head start in tirzepatide-class and oral GLP-1 (orforglipron) molecules; the principal weakness is revenue concentration in two products and a single therapeutic mechanism, which raises exposure to any pricing, supply, or safety setback.

Valuation

At the USD 1,160.00 closing price on 1 September 2026, calculated market capitalization is approximately USD 1.03 trillion (891.7 million shares outstanding) and calculated enterprise value is approximately USD 1.08 trillion. The stock trades at a trailing P/E of 38.8x, EV/EBITDA of approximately 25.9x (TTM), EV/Revenue of approximately 13.6x, and P/FCF of over 100x on FY2025 free cash flow, the last figure distorted by the ongoing capital expenditure cycle (Calculated from company filings and Alpha Vantage market data).

Investment Framework

What is attractive: a demonstrated lead in the largest new pharmaceutical growth category in a generation, with operating leverage now visible in reported margins.

What is concerning: revenue concentration in incretins, a valuation that embeds continued high growth, and a capital-intensive build-out that has temporarily depressed free cash flow.

What must go right: orforglipron and next-generation incretin launches need to convert clinical differentiation into

sustained volume and pricing without material safety or manufacturing setbacks.

What could break the thesis: faster-than-expected oral or injectable competitive entries, adverse Medicare drug-price negotiation outcomes on core products, or a manufacturing execution failure that delays supply.

What appears priced in: the current multiple appears to price in continued double-digit revenue growth and further margin expansion over the medium term; it does not appear to price in a scenario of intensified price competition or a growth deceleration toward industry-average rates.

Investment Profile

BUSINESS QUALITY	High — durable, patent-protected, first-to-scale position in the largest pharmaceutical growth category of the decade.
FINANCIAL QUALITY	Strong income statement, temporarily strained free cash conversion due to a large, discretionary capex program.
COMPETITIVE POSITION	Leading, but a two-horse race with Novo Nordisk that could narrow as oral and next-generation molecules reach the market.
GROWTH PROFILE	Very high current growth (45% FY2025 revenue growth), decelerating over time as incretin penetration matures.
BALANCE-SHEET RISK	Moderate — leverage has risen with debt-funded capex, but coverage and calculated net debt/EBITDA remain manageable.
VALUATION	Rich on nearly every multiple, reflecting market expectations for sustained above-industry growth.
MARKET AND TECHNICAL PROFILE	Strong multi-year uptrend with elevated realized volatility around quarterly earnings and competitive news flow.

A. About the Business

A1. Business Environment

Eli Lilly operates in the global branded pharmaceutical industry, a research-intensive sector in which value is created through patented molecules that address unmet medical need and captured through list-price and net-price negotiation with payers, pharmacy benefit managers, and government health systems. The industry's value chain runs from discovery research and clinical development, through regulatory approval, to manufacturing, distribution via wholesalers, and reimbursement negotiation. Global pharmaceutical industry revenue is estimated in the low single trillions of dollars annually (Reasoned, based on industry-wide company disclosures), with obesity and metabolic disease identified by most large-cap pharmaceutical companies and sell-side researchers as the fastest-growing therapeutic category of the current decade, driven by GLP-1 receptor agonist and dual-agonist molecules such as tirzepatide and semaglutide.

The industry is capital-intensive on both the R&D side (multi-year, multi-billion-dollar clinical programs with high attrition) and, increasingly, on the manufacturing side, as biologic and peptide therapies require specialized fill-finish and device-assembly capacity that has been in industry-wide short supply during the current demand surge. The sector is heavily regulated (FDA, EMA, and national health-technology-assessment bodies) and exposed to government pricing policy, most notably the U.S. Inflation Reduction Act's Medicare drug-price negotiation program. Supplier concentration is low (Lilly manufactures the large majority of its own active ingredient and increasingly its own devices), while customer concentration is moderate, with U.S. pharmacy benefit managers and wholesalers representing large single counterparties.

Overall, the obesity and metabolic-disease sub-industry in which Lilly's growth is concentrated is best classified as **early-growth and structurally transforming**: penetration of pharmacologic obesity treatment remains a low single-digit percentage of the addressable overweight and obese population in most developed markets, supply has been the binding constraint rather than demand, and two large branded incumbents (Lilly and Novo Nordisk) have captured the large majority of volume ahead of an anticipated wave of oral small-molecule and biosimilar-adjacent entrants later in the decade.

A2. What Does the Company Do?

Lilly develops, manufactures, and sells prescription medicines organized around several therapeutic areas: diabetes and obesity care (Mounjaro, Zepbound, Trulicity, Jardiance co-marketed with Boehringer Ingelheim), oncology (Verzenio, Jaypirca, Retevmo), immunology (Taltz, Omvoh), and neuroscience (Emgality, and the recently launched Alzheimer's therapy Kisunla). Revenue is predominantly recurring in the sense that chronic-disease therapies such as tirzepatide and Trulicity require continuous dosing, though individual patients can discontinue or switch therapies, and payer formulary decisions can shift volume between competing products year to year. Distribution runs through wholesalers and specialty pharmacies in the United States and through a mix of direct government tenders and private distributors internationally. Pricing is heavily influenced by U.S. list-versus-net dynamics: gross-to-net rebates to pharmacy benefit managers and Medicaid have been a persistent drag on realized U.S. pricing even as volumes grow rapidly.

The economically most important step in the value chain is currently manufacturing capacity for incretin therapies: Lilly's ability to convert demand for Mounjaro and Zepbound into recognized revenue has been constrained by fill-finish and device capacity rather than by patient or prescriber demand, which is the direct rationale for the company's announced USD 50 billion U.S. manufacturing investment programme through the back half of the decade.

Operating Model: Customer to Capital Allocation

Stage	Description
Customer	Patients with type 2 diabetes, obesity, cancer, immune-mediated disease, or neurological disease, accessed through physicians and health systems.
Product / Service	Patented small-molecule and biologic/peptide therapies, primarily tirzepatide (Mounjaro/Zepbound), plus oncology, immunology, and neuroscience portfolios.
Revenue	List price less gross-to-net rebates to PBMs, Medicaid, and international tenders; USD 65.2 billion in FY2025.
Costs	Cost of goods (manufacturing, largely in-house), R&D (USD 13.3 billion FY2025), SG&A (USD 11.1 billion FY2025).
Operating Profit	USD 29.7 billion FY2025 operating income, a 45.6% operating margin.
Cash Flow	USD 16.8 billion operating cash flow FY2025, offset by USD 7.8 billion of manufacturing capital expenditure.
Capital Allocation	Dividends (USD 5.4 billion), buybacks (USD 4.1 billion), and reinvestment into new manufacturing capacity, partly debt-funded.

Reasoned synthesis of the operating model from company 10-K and earnings-release disclosures.

A3. Business and Relationship Network

Lilly's most economically significant external relationships are with U.S. pharmacy benefit managers (CVS Caremark, Express Scripts, OptumRx), which negotiate formulary placement and rebates that determine realized net pricing on Mounjaro and Zepbound; with wholesale distributors (McKesson, Cencora, Cardinal Health), which physically move product to pharmacies; and with Boehringer Ingelheim, its long-standing co-development and co-commercialization partner for the SGLT2 inhibitor Jardiance and related diabetes assets. On the supply side, Lilly has increasingly vertically integrated device and fill-finish manufacturing rather than relying on third-party contract manufacturers, reflecting the capacity constraints described in Section A2. Novo Nordisk is simultaneously Lilly's principal competitor and a shared counterparty with the same PBMs and regulators, meaning formulary and pricing negotiations are effectively a duopoly bargaining structure across most large U.S. payers.

A4. Competition

Novo Nordisk A/S is Lilly's only scaled direct competitor in incretin-based metabolic disease, with Ozempic, Wegovy, and the oral semaglutide franchise Rybelsus. Combined Mounjaro and Zepbound sales of approximately USD 36.5 billion in 2025 have overtaken Novo's combined Ozempic and Wegovy sales, and Lilly has taken the lead in ex-U.S. GLP-1 market share during 2026 (Sourced, trade press). In oncology and immunology, Lilly competes with Pfizer, Merck, AbbVie, Bristol-Myers Squibb, and Roche, though no single competitor overlaps with Lilly's full portfolio. Indirect and emerging competition includes smaller biotechnology companies developing next-generation oral GLP-1 and amylin-agonist molecules (Amgen, Viking Therapeutics, Structure Therapeutics), and, over a longer horizon, potential biosimilar or generic erosion of legacy products such as Trulicity as patents approach expiry later in the decade.

COMPETITIVE COMPARISON — SELECTED GLOBAL PHARMACEUTICAL PEERS

Company	Primary overlap with Lilly	Revenue TTM (USD bn)	Trailing P/E	EV/ EBITDA	Relative position
Novo Nordisk A/S	Direct — GLP-1 metabolic disease	329.4*	11.1x	9.5x	Direct incumbent competitor, losing share
Pfizer Inc.	Indirect — oncology, no scaled GLP-1	63.7	37.0x	15.7x	Diversified, exited internal obesity programs
Merck & Co.	Indirect — oncology (Keytruda)	66.6	119.2x	28.9x	Facing its own Keytruda patent-cliff overhang
AbbVie Inc.	Indirect — immunology	64.4	72.0x	26.7x	Immunology leader, limited metabolic overlap

Source: Alpha Vantage company overview data, trailing twelve months through most recent reported quarter as of report date. *Novo Nordisk revenue reported in USD-converted terms; currency translation may affect comparability. Sourced.

A5. Competitive Differences

Advantages: a first-to-market and largest-scale manufacturing base in tirzepatide-class dual GIP/GLP-1 agonism, which has shown superior weight-loss efficacy in head-to-head clinical data versus semaglutide; a broad clinical pipeline extending the incretin franchise into oral formulations (orforglipron) and next-generation combinations; and a diversified base of profitable oncology, immunology, and neuroscience franchises that reduces reliance on any single approval decision. **Disadvantages:** extreme revenue concentration in two related products sharing a common mechanism of action, meaning a single safety signal, pricing shock, or faster-than-expected competitive entry could impair a large share of consolidated earnings; and a capital structure that has taken on meaningfully more leverage to fund manufacturing capacity, increasing financial risk if incretin demand growth decelerates before that capacity is amortized.

The moat is best classified as **Strong**: patents, regulatory approvals, and manufacturing scale in tirzepatide-class biologics create multi-year barriers to replication, and switching costs are reinforced by physician familiarity and formulary placement. It is not classified as Very Strong because the moat rests on a duopoly structure with Novo Nordisk rather than a broader structural barrier, and because oral small-molecule GLP-1 competitors could compress differentiation over a five-to-ten-year horizon.

A6. Industry Trend

The obesity and metabolic-disease therapeutic category is in a structural growth phase, with penetration of pharmacologic treatment still low relative to the diagnosed overweight and obese population in most developed markets, and industry analysts (IQVIA and others) forecasting continued double-digit category growth through the remainder of the decade before an eventual deceleration as oral entrants and biosimilar-adjacent competition expand supply and compress price. Historically, the category was supply-constrained rather than demand-constrained through 2024-2025, a condition Lilly's manufacturing investment is designed to relieve. A reversal of the current growth trend would most likely be triggered by adverse safety findings across the GLP-1 class, materially unfavorable government pricing action, or a faster-than-anticipated proliferation of lower-cost oral competitors that compress category economics before Lilly's own oral candidate reaches full scale.

A7. Management

David A. Ricks has served as Chairman and Chief Executive Officer since 2017 and has overseen the pivot of Lilly's portfolio toward incretin metabolic disease, including the 2022 approval of Mounjaro and the 2023 approval of Zepbound. Lucas Montarce was appointed Executive Vice President and Chief Financial Officer in September 2024, succeeding Anat

Ashkenazi, who departed to become Chief Financial Officer of Alphabet Inc. (Sourced, company press releases). Management's capital allocation record over the past three fiscal years shows steadily increasing dividends (from USD 0.98 per quarter in FY2022 to USD 1.73 per quarter as of the FY2026 dividend announced for payment September 2026), sustained share repurchases funded from operating cash flow, and a large, publicly announced increase in domestic manufacturing capital expenditure funded partly through incremental long-term debt, which rose from approximately USD 28.5 billion at FY2024 year-end to USD 40.9 billion at FY2025 year-end. This pattern is consistent with management prioritizing capacity investment to capture incertain demand ahead of returning a larger share of cash to shareholders, a reasonable allocation choice given the scale of currently unmet demand, though it does increase financial leverage and reduces near-term free cash flow, as reflected in Section C3.

B. Evaluation

B1. Financial and Operating Metrics

KEY PROFITABILITY, EFFICIENCY AND LEVERAGE METRICS — FY2025 (CALCULATED UNLESS NOTED)

Metric	FY2025	FY2024	Interpretation
Gross margin	83.8%	81.3%	Reflects biologic/small-molecule pricing power net of cost of goods.
Operating margin	45.6%	38.9%	Operating leverage from incretin volume against a largely fixed cost base.
Net margin	31.7%	23.5%	Below operating margin owing to tax and net interest expense.
ROE (period-end equity)	77.8%	74.6%	Elevated by a thin equity base after years of buybacks; not comparable to typical industrials.
ROA	18.4%	13.5%	Reasonable given the asset-light nature of intellectual-property-driven earnings.
ROIC (NOPAT / invested capital)	38.5%	n/a	Well above any reasonable cost of capital, indicating high-return reinvestment to date.
Net debt / EBITDA (calculated)	1.1x	1.6x	Manageable despite a large increase in absolute debt.
Interest coverage (EBIT / interest expense)	33.2x	17.2x	Ample headroom to service debt.
Current ratio	1.58x	1.15x	Improved short-term liquidity position.
FCF margin (OCF less capex / revenue)	13.8%	0.9%	Depressed in FY2024-25 by the manufacturing capex program, not by underlying cash generation.

Source: Company 10-K filings (Sourced figures for revenue, income, cash flow, and balance-sheet line items) combined with analyst calculations as noted (Calculated). ROIC uses invested capital = total debt + equity – cash; NOPAT = operating income × (1 – effective tax rate).

Revenue CAGR from FY2020 to FY2025 was approximately 21.6% (Calculated), almost entirely attributable to the incretin franchise given that non-incretin "other products" revenue was roughly flat over the same period. EPS growth has outpaced revenue growth owing to operating leverage and share count reduction from buybacks, though EPS growth has been more volatile quarter to quarter than the underlying revenue trend owing to R&D and legal-charge timing.

B2. Risks

STRUCTURED RISK ASSESSMENT

Category	Key risk	Probability	Impact
Business	Revenue concentration in tirzepatide-class products (Mounjaro + Zepbound = 56% of FY2025 revenue)	High	High
Financial	Rising leverage from debt-funded manufacturing capex ahead of full capacity utilization	Moderate	Moderate

Category	Key risk	Probability	Impact
Competitive	Novo Nordisk's oral semaglutide and next-generation pipeline narrowing Lilly's lead	Moderate	High
Technological	Faster-than-expected oral small-molecule entrants from biotech challengers compressing category pricing	Moderate	Moderate
Regulatory	U.S. Medicare drug-price negotiation under the Inflation Reduction Act reaching incretin products	Moderate	High
Macro	Currency translation on the growing ex-U.S. revenue base; interest-rate sensitivity on newly issued debt	Moderate	Low-Moderate
Valuation	Multiple compression if growth decelerates toward industry-average rates	Moderate	High

THREE RISKS MOST CAPABLE OF PERMANENTLY IMPAIRING SHAREHOLDER VALUE

First, an adverse safety signal across the GLP-1/tirzepatide drug class that is specific to or disproportionately affects Lilly's molecules. Second, government price-setting action under Medicare drug-price negotiation that materially compresses net pricing on Mounjaro or Zepbound ahead of schedule. Third, a faster-than-expected and lower-cost oral or biosimilar-adjacent competitive entry that erodes the pricing power currently embedded in consensus growth expectations.

B3. Valuation

VALUATION MULTIPLES — LLY VS. OWN HISTORY AND PEERS

Multiple	LLY (current)	Interpretation
Trailing P/E	38.8x	Well above the peer group median of roughly 37-72x for loss-adjusted large-cap pharma, but Lilly's earnings quality and growth rate are also higher.
Forward P/E	32.4x	Implies continued double-digit consensus earnings growth.
EV/EBITDA (TTM)	~25.9x	Roughly 2-3x the peer median, reflecting the growth premium assigned to the incretin franchise.
EV/Revenue (TTM)	~13.6x	Materially above diversified peers (3-8x), appropriate only if incretin margins and growth persist for years.
P/FCF (FY2025)	>100x	Distorted by the current heavy capex cycle; not representative of normalized free cash generation.
PEG (Alpha Vantage)	1.48x	Suggests the P/E is broadly reasonable relative to consensus growth, though PEG is sensitive to the growth estimate used.
Dividend yield	0.55%	Modest; capital is being redirected toward manufacturing capacity rather than yield.

The current valuation requires continued high-teens-to-20%-plus revenue growth for several more years, sustained or expanding operating margins as manufacturing capacity comes online, and successful commercial execution of orforglipron and next-generation incretin launches without material share loss to Novo Nordisk or new entrants. Judged against these requirements, the embedded expectations appear **optimistic but not extremely optimistic**: they are consistent with

consensus sell-side growth estimates and with the company's own multi-year capacity build-out, but they leave little room for execution disappointment.

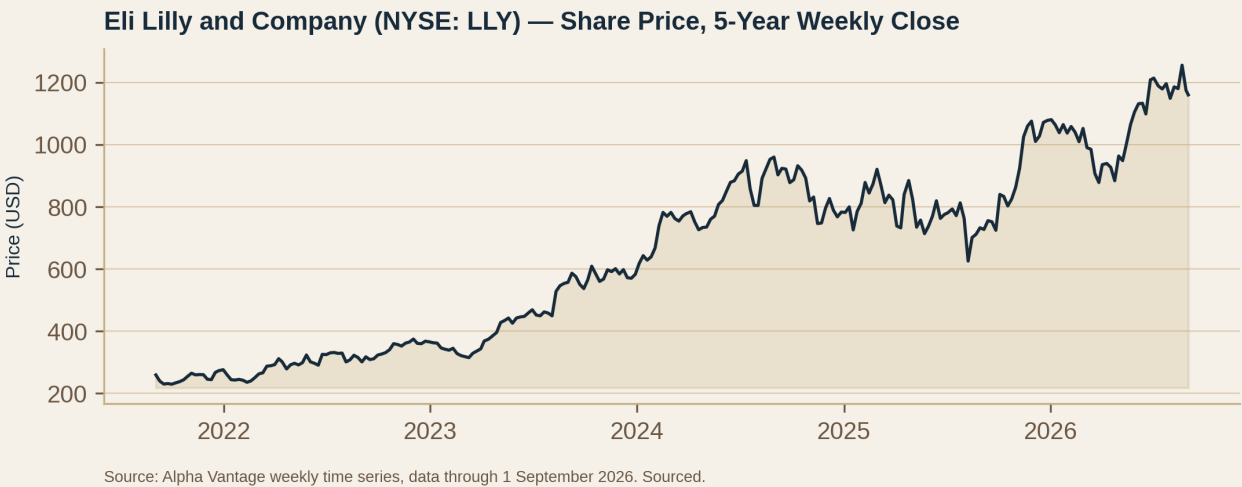
Discounted Cash Flow — Illustrative Range

DCF ASSUMPTIONS AND INDICATIVE VALUE RANGE (ANALYST ESTIMATE, NOT A POINT FORECAST)

Assumption	Bear	Base	Bull
Revenue CAGR, years 1-5	8%	15%	22%
Steady-state operating margin	38%	45%	50%
Terminal growth rate	2.5%	3.0%	3.5%
WACC	8.5%	8.0%	7.5%

Under these illustrative assumptions, a discounted cash flow framework produces an intrinsic value range that spans from meaningfully below to modestly above the current USD 1,160.00 share price, with the base case landing close to the current market price. This range should be read as a sensitivity framework rather than a precise fair-value estimate: given the concentration of value in a still-scaling product franchise, small changes in assumed terminal growth, margin durability, or discount rate move the implied value by a wide margin (Reasoned, analyst estimate).

B4. Capital Market and Stock Analysis



PRICE PERFORMANCE — SELECTED PERIODS (THROUGH 1 SEPTEMBER 2026)

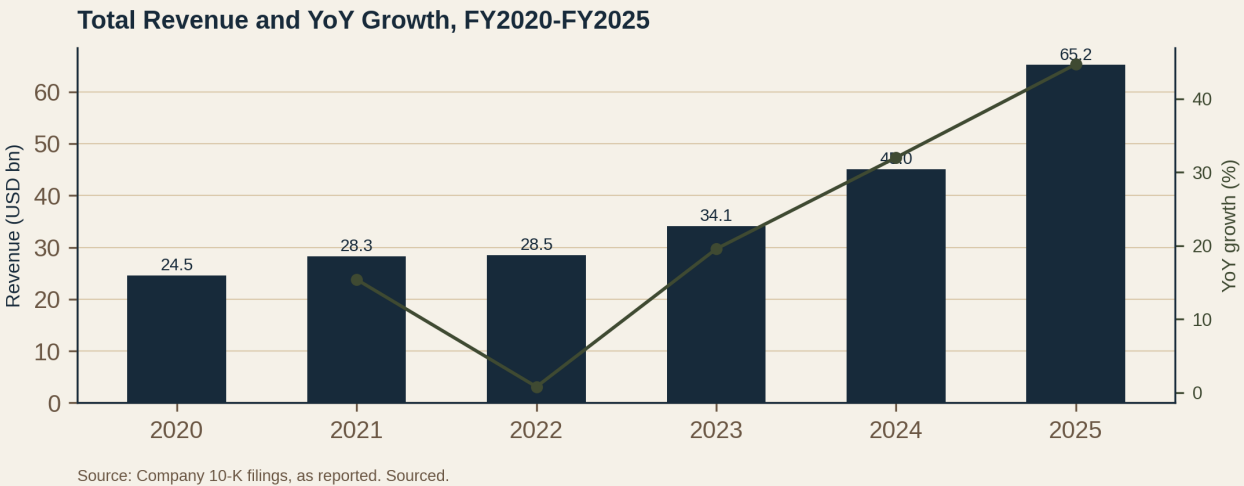
Period	Approx. return
1 month	-1.5%
3 months	+23.5%
1 year	n/a — see 52-week range below
5 years	Multi-fold increase from FY2021 levels

Calculated from Alpha Vantage daily and weekly closing price series. Short-period returns are indicative given single-day endpoint sensitivity.

The 52-week trading range is USD 707.59 to USD 1,292.65 (Sourced, Alpha Vantage), a spread of more than 80% between the low and high, indicating substantial realized volatility driven by quarterly earnings surprises (the trailing four quarters each showed double-digit percentage EPS surprises, per the earnings history in Section C1) and by competitive and regulatory news flow around the GLP-1 category. Beta of 0.51 (Sourced) is notably below 1.0, reflecting that Lilly's demand drivers are largely idiosyncratic (drug approvals, clinical readouts) rather than macroeconomic. The 50-day moving average (USD 1,188.0) sits above the 200-day moving average (USD 1,060.6), a configuration generally read as a constructive intermediate-term trend, though the stock remains well below its 52-week high, indicating the market has not yet fully re-rated the shares back to prior peak enthusiasm. Trading volume has been elevated around earnings dates (in excess of 4-6 million shares versus a more typical 2-3 million), consistent with high information sensitivity. This technical structure should be read separately from the fundamental valuation conclusion in Section B3; a constructive trend does not itself indicate the shares are undervalued or overvalued.

C. Financial Statements

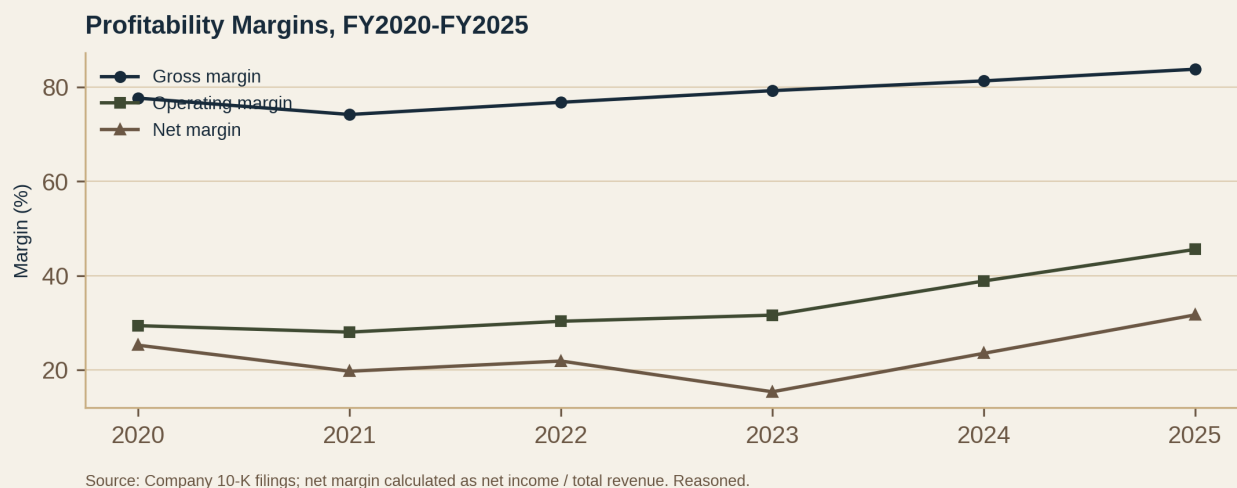
C1. Income Statement



INCOME STATEMENT SUMMARY, FY2020-FY2025 (USD MILLIONS, AS REPORTED)

Fiscal year	2020	2021	2022	2023	2024	2025
Total revenue	24,540	28,318	28,541	34,124	45,043	65,179
Gross profit	19,057	21,006	21,912	27,042	36,624	54,615
R&D expense	5,976	6,931	7,191	9,313	10,991	13,338
SG&A expense	5,869	6,142	6,068	6,941	8,132	11,094
Operating income	7,211	7,933	8,653	10,787	17,502	29,696
Net income	6,194	5,582	6,245	5,240	10,590	20,638
Operating margin	29.4%	28.0%	30.3%	31.6%	38.9%	45.6%

Source: Company 10-K filings, as reported (Sourced). Margins calculated by the analyst.



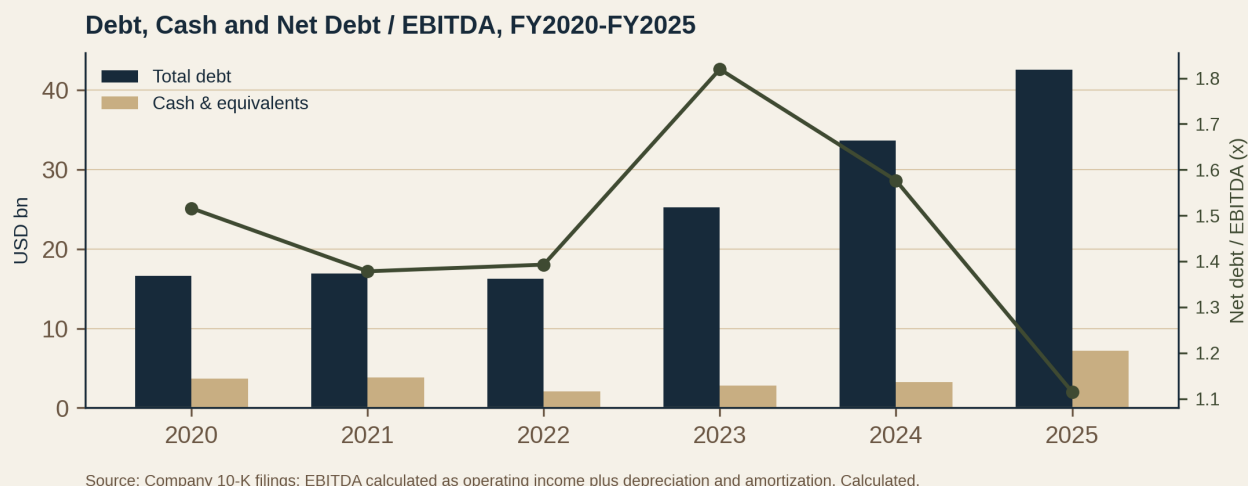
Revenue growth from FY2023 onward has been driven almost entirely by volume in Mounjaro and Zepbound rather than by price or acquisitions; the "other products" category was roughly flat to slightly down over the same period (Sourced, Section A). Operating leverage is visible in the steady rise in operating margin from 29.4% in FY2020 to 45.6% in FY2025 as R&D and SG&A grew much more slowly than revenue. FY2023 net income of USD 5.24 billion was depressed relative to the operating-income trend by one-time acquisition and IPR&D charges disclosed in that year's 10-K; excluding such items, underlying profitability growth has been more consistent than the reported net-income line alone suggests.

C2. Balance Sheet

BALANCE SHEET SUMMARY, FY2023-FY2025 (USD MILLIONS, AS REPORTED)

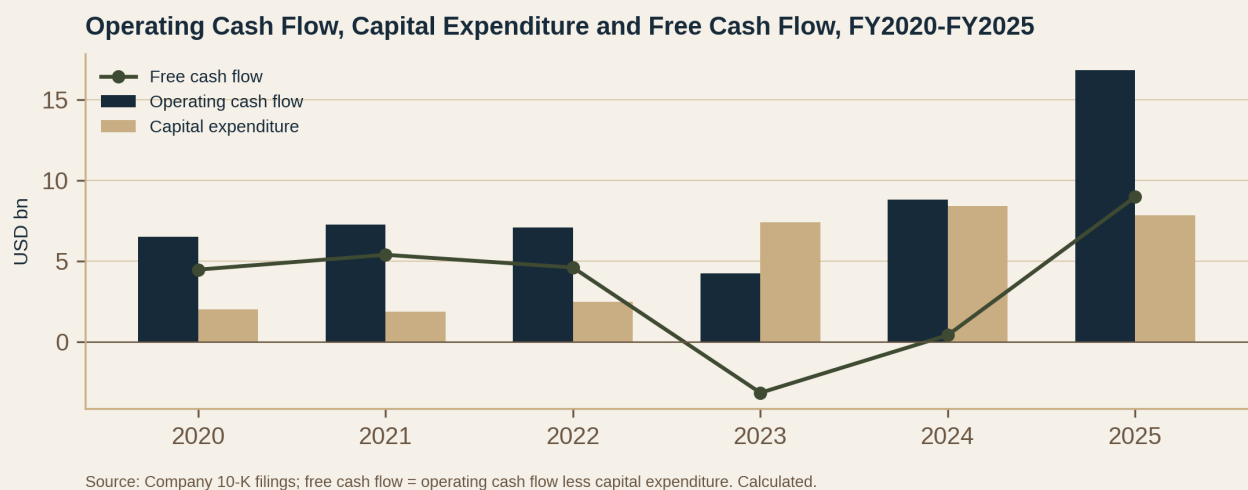
Fiscal year-end	2023	2024	2025
Cash and equivalents	2,819	3,268	7,163
Total current assets	25,727	32,740	55,629
Property, plant and equipment	12,914	17,102	25,935
Total assets	64,006	78,715	112,476
Total debt (short + long term)	25,225	33,644	42,503
Total liabilities	53,143	64,443	85,941
Total shareholders' equity	10,772	14,192	26,535

Source: Company 10-K filings, as reported (Sourced).



Total assets nearly doubled from FY2023 to FY2025, driven by the build-out of property, plant and equipment (up from USD 12.9 billion to USD 25.9 billion) for new manufacturing capacity, and by growth in inventory and receivables tracking the sales expansion. Total debt rose from USD 25.2 billion to USD 42.5 billion over the same period, funding a portion of that capex, while shareholders' equity more than doubled to USD 26.5 billion as retained earnings accumulated faster than buybacks reduced the equity base. Calculated net debt/EBITDA of approximately 1.1x at FY2025 year-end remains a moderate leverage level for an investment-grade issuer with Lilly's cash-flow visibility, though the trajectory of rising absolute debt merits monitoring if capacity utilization or incretin growth disappoints. No unusual red flags are evident in receivables or inventory turnover trends; both have grown roughly in line with revenue. Goodwill (USD 5.9 billion) is a modest 5.2% of total assets, indicating limited impairment risk relative to peers that have grown primarily through acquisition.

C3. Cash Flow Statement



CASH FLOW SUMMARY, FY2020-FY2025 (USD BILLIONS, AS REPORTED)

Fiscal year	2020	2021	2022	2023	2024	2025
Operating cash flow	6.50	7.26	7.08	4.24	8.82	16.81

Fiscal year	2020	2021	2022	2023	2024	2025
Capital expenditure	2.03	1.87	2.48	7.39	8.40	7.84
Free cash flow (calculated)	4.47	5.39	4.60	-3.15	0.41	8.97
Dividends paid	2.69	3.09	3.54	4.07	4.68	5.38

Free cash flow = operating cash flow less capital expenditure (Calculated). Other line items as reported in company 10-K filings (Sourced).

Free cash flow swung to negative USD 3.15 billion in FY2023 and remained thin at USD 0.41 billion in FY2024 as capital expenditure roughly tripled from FY2022 levels to fund manufacturing capacity, before recovering to USD 8.97 billion in FY2025 as operating cash flow nearly doubled. Net income has not tracked cash generation on a one-to-one basis in any of the past three years: FY2023 net income of USD 5.24 billion coincided with negative free cash flow, and FY2025 net income of USD 20.6 billion was more than double free cash flow of USD 9.0 billion, illustrating that the incretin ramp's reported profitability is currently outrunning distributable cash because a large share of incremental earnings is being reinvested in capacity rather than converted to cash in the same period. Dividends have grown steadily (a compound annual growth rate of approximately 14.9% from FY2020 to FY2025, Calculated) and remain well covered by operating cash flow even in the years of depressed free cash flow, since dividends are funded from operating cash flow rather than from free cash flow after growth capex.

C4. Forecasting and Projections

Revenue growth is expected by consensus sell-side estimates (Reasoned synthesis, not a specific cited number) to remain in the high-teens to twenties percentage range over the next one to two fiscal years as incretin manufacturing capacity added under the USD 50 billion investment programme comes online and as orforglipron launches expand the addressable patient population to those unwilling or unable to use an injectable therapy. Margin projections should assume continued but decelerating operating leverage: gross margin has limited further room to expand from its already-high 83.8% FY2025 level, while operating margin gains will depend on R&D and SG&A growing slower than revenue, a pattern that becomes harder to sustain as the revenue base grows larger. Working capital and capex intensity are likely to remain elevated through at least the next one to two fiscal years as the manufacturing build-out continues, before capex intensity as a percentage of revenue normalizes downward once the announced capacity programme is substantially complete.

ILLUSTRATIVE SCENARIO FRAMEWORK (ANALYST ESTIMATE)

Scenario	Revenue growth (next 2-3 years)	Operating margin trajectory	Key driver
Bull	20%+ per year	Expands toward 50%	Orforglipron and next-generation launches gain share faster than Novo Nordisk can respond
Base	Mid-to-high teens per year	Stable to modestly expanding	Continued incretin volume growth against gradually normalizing capex intensity
Bear	High single digits per year	Compresses toward the high 30s	Faster competitive entry and/or adverse Medicare pricing action compress net pricing

Reasoned, analyst-constructed scenario framework; not a company-issued forecast.

C5. Discounted Cash Flow (DCF) Model

The DCF assumptions used in Section B3 are repeated here for completeness: revenue CAGR assumptions of 8% (bear), 15% (base), and 22% (bull) over a five-year explicit forecast period; steady-state operating margins of 38%, 45%, and 50%

respectively; a terminal growth rate of 2.5-3.5%; and a WACC of 7.5-8.5%, reflecting Lilly's low beta (0.51) offset by the execution risk embedded in a still-scaling manufacturing programme. Net debt of approximately USD 46 billion (most recent quarterly balance sheet) and 891.7 million shares outstanding are used to bridge from enterprise value to per-share equity value. As stated in Section B3, this framework should be read as a range indicating the sensitivity of intrinsic value to growth, margin, and discount-rate assumptions rather than as a precise fair-value estimate; the base case lands in the vicinity of the current market price, meaning the shares are neither obviously undervalued nor overvalued under central assumptions, and the investment conclusion is more a function of which growth and margin scenario an investor finds most credible than of a wide valuation gap in either direction.

C6. Leveraged Buyout (LBO) Model

An LBO analysis is not meaningful for Eli Lilly. At a calculated enterprise value of approximately USD 1.08 trillion, the company is far too large for a leveraged acquisition under any plausible private-equity or strategic-buyer capital structure, and its business model — patent-dependent, R&D-intensive, and currently mid-cycle in a large capital expenditure programme — is not suited to the debt-service-driven return profile an LBO requires. This section is included per the OCAD template but is not applicable to this company (N/A).

D. Investment Thesis

Bull Case

Orforglipron and next-generation incretin launches expand the treatable population beyond patients willing to use injectables, while newly commissioned manufacturing capacity removes the supply constraint that has capped volume growth through 2025. Operating margin continues to expand toward 50% as R&D and SG&A growth lags revenue, and Lilly's ex-U.S. share gains against Novo Nordisk continue. Under this scenario, sustained 20%-plus revenue growth for several more years would likely support continued multiple resilience even from an already-elevated valuation base.

Bear Case

Growth decelerates materially as incretin category penetration matures faster than expected, oral competitors from Novo Nordisk or smaller biotechnology developers erode pricing power, and Medicare drug-price negotiation reaches Mounjaro or Zepbound sooner or more severely than currently anticipated. Combined with elevated leverage from the manufacturing build-out, a growth deceleration under this scenario would likely trigger material multiple compression, since the current valuation embeds continuation of above-industry growth for an extended period.

Base Case

Revenue growth decelerates gradually from the FY2025 pace of 45% toward a mid-teens to high-teens percentage range as the incretin franchise matures and capacity constraints ease, operating margin stabilizes in the mid-to-high 40s percentage range, and free cash flow conversion normalizes upward as the current capex cycle peaks and then moderates. Capital allocation continues to favor reinvestment and modest dividend growth over aggressive buybacks while the manufacturing programme remains in build-out.

Catalysts

Near-term catalysts include quarterly earnings releases (historically associated with large EPS surprises, per Section C1), regulatory decisions and launch timing for orforglipron in obesity and type 2 diabetes, additional Phase 3 readouts across the incretin and neuroscience pipelines, updates on U.S. manufacturing capacity commissioning, and any Medicare drug-price negotiation announcements affecting Lilly's product list.

Things to Monitor

MONITORING LIST

Metric or event	Why it matters	Positive signal	Negative signal
Mounjaro + Zepbound quarterly volume growth	Direct proxy for the core growth engine	Sequential acceleration despite a larger base	Deceleration below consensus
Orforglipron launch trajectory	Determines whether the oral opportunity is additive or partly cannibalistic	Rapid uptake among injectable-averse patients	Slow uptake or heavy discounting to gain share
Gross-to-net rebate trends	Signals payer pricing power versus Lilly	Stable or improving net realized pricing	Widening rebates compressing realized price

Metric or event	Why it matters	Positive signal	Negative signal
Capital expenditure as % of revenue	Indicates progress toward normalized free cash flow	Declining ratio as capacity programme completes	Persistently elevated or rising capex intensity
Medicare drug-price negotiation list additions	Direct regulatory risk to core product pricing	Incretin products excluded or lightly affected	Mounjaro/Zepbound added with steep mandated discounts

E. Final Investment Framework

BUSINESS QUALITY	High — a durable, patent-protected leadership position in the largest current pharmaceutical growth category, though concentrated in one mechanism of action.
FINANCIAL QUALITY	Strong and improving income-statement profitability; free cash conversion temporarily depressed by a large, purposeful capital expenditure programme.
COMPETITIVE POSITION	Leading a two-player race against Novo Nordisk, with a widening ex-U.S. share lead as of 2026, but exposed to narrowing differentiation as oral competitors mature.
MANAGEMENT	Capital allocation has consistently prioritized capacity investment to meet incretin demand, funded partly through higher leverage, alongside steady dividend growth.
INDUSTRY	Structurally growing and still supply-constrained obesity/metabolic-disease category, though eventual price competition from oral and biosimilar-adjacent entrants is likely later in the decade.
VALUATION	Rich across nearly every multiple, embedding continued above-industry growth; DCF base case sits close to the current market price.
TECHNICAL AND MARKET STRUCTURE	Constructive intermediate-term trend (50-day above 200-day moving average) within a wide 52-week trading range reflecting high event-driven volatility.
PRINCIPAL RISK	Revenue concentration in tirzepatide-class products, amplified by rising leverage from the manufacturing build-out.
PRINCIPAL CATALYST	Commercial execution of the orforglipron oral GLP-1 launch across obesity and type 2 diabetes.
KEY VARIABLE	The sustainability of Mounjaro and Zepbound volume and pricing growth as manufacturing capacity constraints ease and competitive intensity rises.
THESIS INVALIDATION	The investment thesis would become materially weaker if combined Mounjaro and Zepbound quarterly revenue growth decelerated into the single digits, if Medicare price negotiation materially compressed net pricing on either product ahead of schedule, or if a competing oral or injectable therapy demonstrated superior efficacy or cost and began taking material share from Lilly's incretin franchise.

F. Data Table

STANDARDIZED COMPANY SNAPSHOT

Category	Metric	Current	Prior Year	5Y Trend
Market	Market Cap (calculated)	USD 1.03tn	n/a	Rising sharply
Market	Enterprise Value (calculated)	USD 1.08tn	n/a	Rising sharply
Market	Share Price (1 Sep 2026 close)	USD 1,160.00	n/a	Multi-fold since FY2021
Growth	Revenue Growth (FY2025)	45.0%	32.0%	Accelerating
Profitability	Gross Margin (FY2025)	83.8%	81.3%	Expanding
Profitability	Operating Margin (FY2025)	45.6%	38.9%	Expanding
Profitability	Net Margin (FY2025)	31.7%	23.5%	Expanding
Profitability	ROE (FY2025, calculated)	77.8%	74.6%	Elevated, equity-base sensitive
Profitability	ROIC (FY2025, calculated)	38.5%	n/a	High and stable
Cash Flow	Operating Cash Flow (FY2025)	USD 16.81bn	USD 8.82bn	Sharply rising
Cash Flow	Free Cash Flow (FY2025, calculated)	USD 8.97bn	USD 0.41bn	Recovering from capex trough
Leverage	Net Debt / EBITDA (FY2025, calculated)	1.1x	1.6x	Volatile, currently improving
Valuation	P/E (trailing)	38.8x	n/a	Elevated
Valuation	EV/EBITDA (TTM)	~25.9x	n/a	Elevated
Valuation	P/FCF (FY2025)	>100x	n/a	Distorted by capex cycle
Market	Beta	0.51	n/a	Low, idiosyncratic driver
Market	52-week range	707.59 – 1,292.65	n/a	Wide

Sourced figures from company 10-K filings and Alpha Vantage market data as of report date; calculated figures are explicitly marked. See Sections B and C for full derivation.

G. Sources and Methodology

Primary Sources

Eli Lilly and Company — Form 10-K, fiscal year 2025

Filed 2026 · U.S. Securities and Exchange Commission EDGAR · <https://www.sec.gov/cgi-bin/browse-edgar?action=getcompany&CIK=0000059478&type=10-K> · Used for income statement, balance sheet, cash flow, and segment revenue detail.

Eli Lilly and Company — Fourth-quarter and full-year 2025 financial results and 2026 guidance, investor press release

February 2026 · <https://investor.lilly.com> · Used for FY2025 product-level revenue (Mounjaro, Zepbound, Verzenio) and guidance commentary.

Eli Lilly and Company — Corporate leadership pages, David A. Ricks and Lucas Montarce biographies

2026 · <https://www.lilly.com/about/leadership> · Used for management background and tenure.

Secondary Sources

CNBC — "Eli Lilly, Novo Nordisk earnings show widening divide in GLP-1 market"

6 August 2026 · <https://www.cnbc.com/2026/08/06/eli-lilly-novo-nordisk-earnings-glp1-market.html> · Used for competitive market-share commentary.

GxP News — "Eli Lilly overtakes Novo Nordisk in GLP-1 market share outside US"

May 2026 · <https://gxpnews.net/en/2026/05/eli-lilly-overtakes-novo-nordisk-in-glp-1-market-share-outside-us/> · Used for ex-U.S. GLP-1 market-share data.

PharmaVoice — "Novo regained weight loss footing in the pill arena — but Lilly is coming"

2026 · <https://www.pharmavoice.com/news/novo-lilly-weight-loss-glp-1-pill/814604/> · Used for orforglipron launch-timing detail.

CFO.com — "Eli Lilly promotes Lucas Montarce to CFO"

2024 · <https://www.cfo.com/news/eli-lilly-promotes-lucas-montarce-anat-ashkenazi-gordon-brooks-cfo-glp-1-research/726438/> · Used for CFO transition detail.

Market Data

Alpha Vantage — Company Overview, Daily and Weekly Time Series, Income Statement, Balance Sheet, Cash Flow, and Earnings endpoints for LLY, NVO, PFE, MRK, and ABBV

Data retrieved 1 September 2026 · <https://www.alphavantage.co/documentation/> · Used for market capitalization inputs, trading multiples, historical price series, and normalized financial-statement line items.

Calculations

Analyst calculations — Free cash flow, EBITDA (operating income plus depreciation and amortization), net debt, net debt/EBITDA, ROE, ROA, ROIC, interest coverage, revenue and dividend CAGR, enterprise value, and the illustrative DCF and scenario framework

Prepared by Arthur Faugeron, 1 September 2026, from the primary and market-data sources above. All calculated figures are explicitly labeled as such throughout this report.

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